Bauer Health - Form 10-K Extract (Fiscal 2024)

Item 1. Business

Bauer Health is a healthcare company operating through three reportable segments: Medical Devices,

Diagnostics and Pharmacy Services. Our principal executive offices are located in Phoenix, Arizona. As of the end of fiscal 2024, we employed approximately 60,787 people worldwide. We sell to customers in more

than 79 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- We depend on third-party cloud providers; a prolonged outage could disrupt operations and damage customer relationships. Insurance coverage may not be sufficient to cover all losses arising from these risks. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. We have experienced such events in the past and expect to continue to face them. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- We may be unable to attract and retain the highly skilled employees our strategy needs. Insurance coverage may not be sufficient to cover all losses arising from these risks. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Cybersecurity incidents could result in the loss of confidential data, regulatory penalties and reputational harm. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Supply-chain disruptions may delay product shipments and increase input costs. Insurance coverage may not be sufficient to cover all losses arising from these risks. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Intense competition could reduce our market share or force us to lower prices. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2024 was $13,943 million, an increase of 13.9 percent compared with the prior year. Operating margin was 26.1 percent and net income was $2,536 million. The Medical Devices segment was our largest, contributing $5,773 million of revenue.

Segment revenue:

- Medical Devices: $5,773 million
- Diagnostics: $5,422 million
- Pharmacy Services: $2,747 million

Results reflected pricing actions partly offset by foreign-exchange headwinds.

Liquidity and Capital Resources

Long-term debt totalled $2,038 million, and cash and cash equivalents were $2,814 million. Capital expenditures were $1,170 million, primarily for capacity expansion and technology infrastructure. We did not pay a dividend during the year and prioritised debt reduction. We believe existing cash, operating cash flow and our revolving credit facility will be sufficient to fund operations for at least the next twelve months.